

SECURITIES AND EXCHANGE BOARD OF INDIA

OFFICIAL REGULATORY NOTIFICATION - STATUTORY TEXT

SECURITIES AND EXCHANGE BOARD OF INDIA (PROHIBITION OF INSIDER TRADING) REGULATIONS, 2015

[Regulation 3(1)] Communication or procurement of unpublished price sensitive information (UPSI)

No insider shall communicate, provide, or allow access to any unpublished price sensitive information, relating to a company or securities listed or proposed to be listed, to any person including other insiders except where such communication is in furtherance of legitimate purposes, performance of duties or discharge of legal obligations.

[Regulation 3(2)] Procurement of UPSI

No person shall procure from or cause the communication by any insider of unpublished price sensitive information, relating to a company or securities listed or proposed to be listed, except in furtherance of legitimate purposes, performance of duties or discharge of legal obligations.

[Regulation 4(1)] Trading when in possession of unpublished price sensitive information

No insider shall trade in securities that are listed or proposed to be listed on a stock exchange when in possession of unpublished price sensitive information. Any trading in securities while possessing unpublished price sensitive information is presumed to be motivated by the knowledge and awareness of such information.

[Regulation 5(1)] Trading Plans

An insider shall be entitled to formulate a trading plan and present it to the compliance officer for approval and public disclosure pursuant to which trades may be carried out on his behalf in accordance with such plan. Such trading plan shall not entail commencement of trading on behalf of the insider earlier than six months from the public disclosure of the plan.

[Regulation 7(2)] Continual Disclosures by Designated Persons

Every promoter, member of the promoter group, designated person and director of every company shall disclose to the company the number of such securities acquired or disposed of within two trading days of such transaction if the value of the securities traded, whether in one transaction or a series of transactions over any calendar quarter, aggregates to a traded value in excess of ten lakh rupees.
